



COOKIE MONSTER

CASE STUDIES

By Anda Bologna

Europe's "cookie tax" hurts a broad range of businesses, from e-commerce merchants to independent publishers, to even the car industry and global sports brands. Here's how:

Cookie Car Crash



Europe's cookie rules do not just hurt small sellers, advertisers, and the press. They slow down their most innovative companies, often operating in the continent's key car industry, which accounts for 8% of the continent's GDP. Without effective cookie reform, the industry argues that Europe will fall behind in building connected and self-driving cars.

[Danish high-flyer startup OOOONO's](#) experience helps explain why. This eight-year-old Danish company invented a speed trap warning device to alert drivers. OOOONO already employs 150, has sold three million devices, has seven million users, and generates €125 million in annual revenue. "My goal is to become a unicorn," reaching annual sales of €1 billion, says founder and CEO Christian Walther Øyrabø.

Restrictions on cookies threaten his dream. They drive up his costs to acquire customers. Three-quarters of potential customers opt out of receiving the company's newsletters - and of updates that would improve the safety and use of the OOOONO.

Even worse, the performance of OOOONO's devices, which require location tracking and Bluetooth consent to function, suffers. Customers often turn off location access - and then complain the product is broken, Øyrabø says. If consent must be renewed every six months, he fears "his product will stop working every six months, and his business model would be broken."

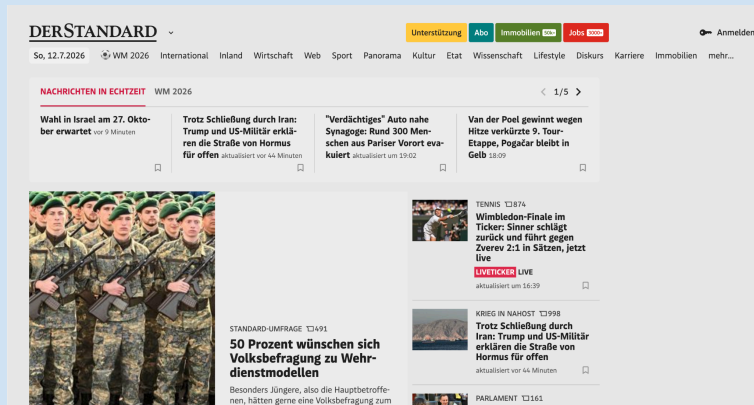
The larger European car industry shares these concerns. [The European Automobile Manufacturers' Association, or ACEA](#), which unites Europe's 17 major car, truck, van, and bus makers, [fears](#) proposed cookie reforms are impractical. Many drivers share cars. Does each driver need to give consent?

"For vehicles that are often used by multiple persons (owner, family member, employee, short-term renter), it is not practical to seek informed consent for every instance of data access," it argues. "Nor is it straightforward to identify which party is entitled to give the consent and whether such consent can be considered valid."

As Europe struggles to connect cars to the Internet, China and the US could continue to innovate, offering drivers improved services and experiences - and developing driverless cars, which depend on processing reams of data. OOOONO, too, will suffer. It has built arguably the world's largest safety camera database, covering 75 countries. It supplies data to Audi, BMW, and Mercedes, among others.

Will cookie reform allow OOOONO to accelerate into the fast lane, becoming a true European tech success story? Or will it be left in the slow lane? Much will depend on the fate of cookie reform.

Publishers Lament



Source: <https://www.derstandard.at/>

The leading Austrian newspaper Der Standard thought it was offering a fair deal.

Readers could pay for journalism the old-fashioned way—buying a subscription for a monthly fee of €9.90—or they could read for free, allowing advertising to pay the bill. The paper was upfront. Choose a subscription and get a clean site with no ads and no data-driven targeting. Choose the free version and accept ads and the data processing that makes those ads valuable.

Then GDPR arrived, and with it, a legal morass.

Austrian privacy activist Max Schrems filed suit in 2018. The founder of the privacy [NGO None of Your Business](#) already had led scorched earth campaigns against Facebook for its privacy violations and the alleged transfer of European personal data to US security services. Against Der Standard, Schrems argued that the pay or consent model did not give readers a “free choice,” because almost all readers chose the free, ad-filled version, resulting in “a North Korean consent rate of 99.9%.”

The Austrian privacy watchdog agreed. It [ruled](#) in 2023 that the pay or consent model was illegal, because it only allowed binary consent or rejection. Under GDPR, readers should have the option to consent to specific types of data processing.

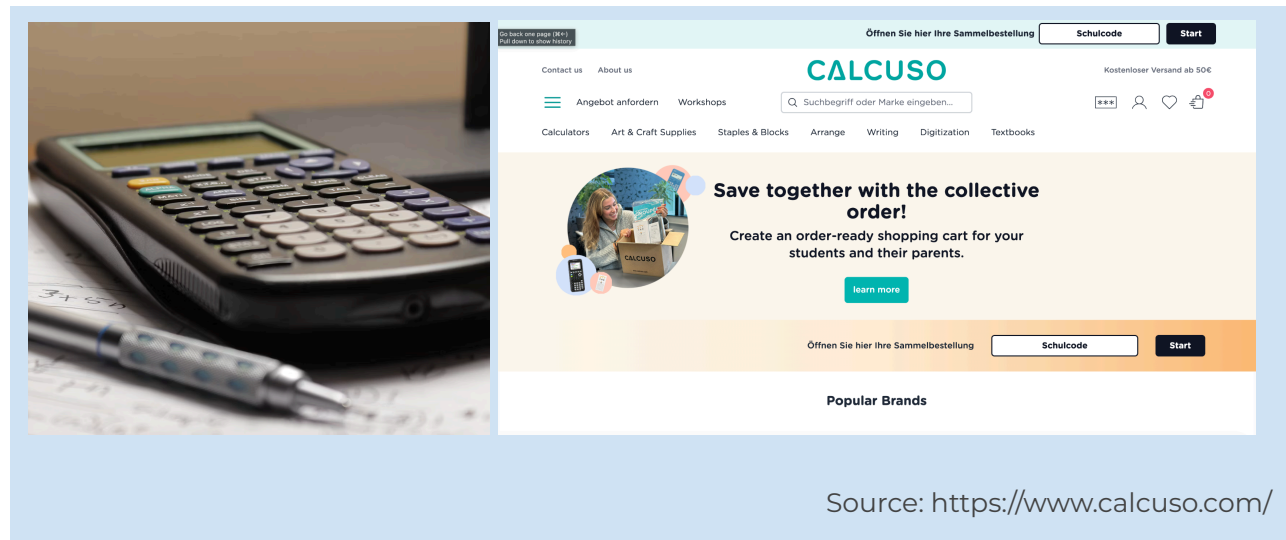
Instead of asking readers to choose between paying for subscription or receiving ads with a single button, the regulators demanded three separate choice buttons.

- First: embedded social media content. If an article includes a tweet or a social post inside the page, readers need to receive a separate choice - strip it out and use a screenshot.
- Second: website analytics. Publishers measure traffic to understand what content performs, and to show advertisers reach and delivery. Regulators said bundling analytics under the general consent screen was unacceptable. Readers needed to be offered an opportunity to opt out.
- Third: ad-space analysis—proof that ads were delivered. Der Standard describes this as the most absurd part of the ruling. You can't sell advertising if you can't measure whether readers view it. "If you want to sell advertisements you need to "how many visitors you have. You need to show a client that the campaign ran."

Der Standard rebuilt its website and allowed subscribers to choose whether or not to see social media plugins in articles. If readers want them, they get a separate consent request. Readers are allowed to opt out of website analytics and opt out of ad-space measurement—choices Der Standard says are bad for their business.

The saga goes on. The Austrian Data Protection authority is now reviewing whether the changes were implemented correctly.

Calculator Cookies



It started in 2009, with a calculator. Alexander Giersz found a device that helped him with his exams at the University of Freiburg in Germany. He needed to earn money and “didn’t want to work as a waiter in a restaurant.” The 18-year-old student began importing calculators and selling them online.

The business thrived. Giersz dropped out of his law studies and launched [CALCUSO](https://www.calcuso.com/) on Amazon, C-Discount, [Bol.com](https://www.bol.com/), and other marketplaces, offering a broad range of educational and school supplies for teachers, students, and their parents. Few regulations on e-commerce marketplaces existed at the time, and CALCUSO grew fast, expanding to three million customers, 50 employees, and €25 million in sales.

Then Giersz hit the cookie wall. He needed to advertise to build his business. But because of European privacy rules, introduced after 2017, he couldn’t tell if his ads were working and bringing in customers. The reports he received from Google and Amazon, he believed, contain inaccurate, incomplete information.

“I feel blind,” he recalls. “You spend thousands of euros, and you don’t have data. I fear money is being thrown out of the window.”

The ambitious entrepreneur doesn’t need personal data. He didn’t need to know the identity or address of the potential buyer. He didn’t need to know if the buyer was a woman or a man, a teacher or a student, even if that would have been interesting. He

just needed a cookie to know whether someone who clicked on his ad ended up buying something on his site.

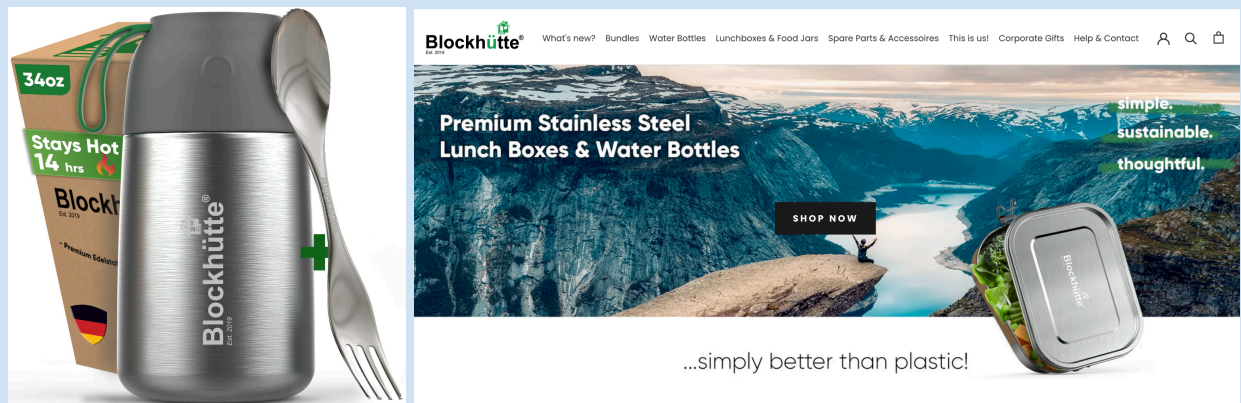
A privacy-sensitive solution should be possible if the anonymous data of buyers were considered non-personal data. Unfortunately, the current European Commission's The Digital Omnibus doubles down on the "consent"-only paradigm and mandates the use of centralized privacy controls through browsers, OS, or digital wallets that would manage user choice, adding to his woes because even more potential buyers would reject cookies.

The rules "end up hurting consumers," he insists. "Since I have to spend more on advertising, my costs are higher than necessary, and I have to raise prices."

Future European entrepreneurs will suffer. Giersz built CALCUSO before the brunt of European regulations hit e-commerce. His wife recently considered launching her own website to sell cosmetics, only to hear her husband warn her about the regulatory obstacles.

"She ended up listening to me and picking another profession," he says.

Lunch Cookies



Source: <https://www.blockhuette.com>

Malte Meurer feared getting fat. He was eating too many fast food meals and wanted to prepare healthy lunches for himself. But all the lunch boxes he saw were made of plastic. They leaked. They were difficult to clean. Maurer came up with the idea of a sleek steel substitute (“the Porsche of lunchboxes,” he quips, dubbed it Blockhütte, and, in 2019, set up his shop in his mother’s basement.

Confident in their product’s quality, the key was alerting hungry potential customers. They were selling only online. This meant they needed digital advertising. And here’s where they crashed into Cookie Monster.

They spent thousands of euros but couldn’t tell which of their ads were effective. They spent thousands more hiring lawyers to come up with some workarounds. “Big companies could afford to waste money overspending on advertising,” Meurer says. “Small companies like us could not.”

Despite the difficulties, the customers who did buy the Blockhütte liked the product, and the company now sells in 17 European countries. But its fastest growing market is the US, where few restrictions existed on cookies. Their American ads outperformed their European cousins by an estimated three times. Since customers were brought to the product through effective advertising, American customers returned their purchases at half the level of European customers.

Like other small merchants, Meurer insists he doesn't need to know personal information about potential customers. He isn't a sports apparel company targeting a specific demographic, such as athletically minded women between the ages of 35 and 40. He just wants to avoid customers looking for plastic lunch boxes from clicking on his site. "Every click is expensive," he says. "I want to reach the right customers who are interested in high-quality, upmarket lunch boxes."

The upshot? Meurer is considering relocating to the US, even though two-thirds of Blockhütte's business remains in Europe. The US business is growing faster than the European business. Taxes are lower than in Europe. He already makes several trips a year to Los Angeles, where the company's US subsidiary is located.

"It's sunny there all the time," he says, contrasting with his current Hamburg home.

Football Follies



A football fan falls in love with the new kit of his national team. The sports apparel company's website displays the team's boots and socks. What could be more innocent?

But EU cookie rules could prevent the display of these related products. It's like going into a brick and mortar shop and then being asked to fill out a second form when asking for a product to compliment a purchase.

"Just like how a consumer expects store clerks to help them find products they are interested in or are looking for in a physical store, cookies used for personalization on first party websites enable brands to curate products," argues the Federation of the European Sporting Goods Industry (FESI), a Brussels-based trade association that represents the interests of about 1,800 European sporting goods manufacturers.

Europe depends on high profile fashion. The European textile industry generates an estimated turnover of more than €160–€170 billion annually, specializing in

high-value clothing and technical textiles. It comprises roughly 197,000 companies—primarily SMEs—and provides jobs for about 1.3 million workers.

Rather than help this crucial industry, the Digital Omnibus proposal threatens to worsen its plight. If consent is centered on the browser level, FESI has concerns about the impact it will have on its members and their consumers.

Europe’s proposed browser level consent will have “unintended consequences on the consumer journey online and will particularly have a negative impact on how trusted brands in the sporting goods industry are able to personalise their offerings and information on their websites,” according to FESI.

This report is presented by



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